

**CENTRAL BOARD OF SECONDARY EDUCATION — PRACTICE EXAMINATION****CLASS IX • SOCIAL SCIENCE (SUBJECT CODE: 087) • ACADEMIC SESSION 2026-27****SET F — RAPID FIRE SPEED TEST (30 MINS)****CHAPTER 09: THE PRICE PUZZLE: WHAT DRIVES THE MARKET**

TIME ALLOWED: 30 MINUTES

MAXIMUM MARKS: 25 MARKS

SERIES: CBS-IX-SST-SET-F-09

Student's Name: \_\_\_\_\_

Roll No.: \_\_\_\_\_

Class &amp; Section: Class IX - \_\_\_\_\_

Date of Exam: \_\_\_\_\_

Invigilator's Sign: \_\_\_\_\_

**General Instructions (SET F - Rapid Fire Speed Test):**

1. The question paper comprises **25 Rapid Fire Multiple Choice Questions** of **1 mark each**.
2. Designed for **Rapid Recall & High-Speed Accuracy**: Recommended target time is **30 Minutes**.
3. All questions are compulsory. There is no negative marking.
4. Darken the corresponding bubble on the **OMR Sheet** completely using a blue/black ballpoint pen.

**⚡ SPEED CHALLENGE INSTRUCTIONS:** Answer promptly without looking at notes. Test your instant recall of historical milestones, geographic terms, constitutional provisions, and core economic laws!

**Q.1 According to the Law of Demand, what is the fundamental relationship between the price of a good and its quantity demanded, ceteris paribus?**

- |                                                                        |                                                                                   |
|------------------------------------------------------------------------|-----------------------------------------------------------------------------------|
| (A) Direct positive relationship (higher price leads to higher demand) | (B) Inverse negative relationship (higher price leads to lower quantity demanded) |
| (C) Quantity demanded remains completely constant regardless of price  | (D) Demand always equals supply at all prices                                     |

**Q.2 What is the typical slope and direction of a standard market demand curve on a graph?**

- |                                       |                                         |
|---------------------------------------|-----------------------------------------|
| (A) Upward sloping from left to right | (B) Downward sloping from left to right |
| (C) Horizontal straight line          | (D) Vertical straight line              |

**Q.3 According to the Law of Supply, what happens to the quantity offered for sale by producers when the market price rises, ceteris paribus?**

- |                                                    |                                                                              |
|----------------------------------------------------|------------------------------------------------------------------------------|
| (A) Quantity supplied falls to zero                | (B) Quantity supplied increases, motivated by higher per-unit profit margins |
| (C) Quantity supplied remains completely unchanged | (D) Producers shut down all production                                       |

**Q.4 At what price is a market in equilibrium?**

- |                                                                  |                                                                                                        |
|------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------|
| (A) The price where quantity supplied is zero                    | (B) The market-clearing price where quantity demanded exactly equals quantity supplied ( $Q_d = Q_s$ ) |
| (C) The highest possible price that can be charged by a monopoly | (D) The price where unsold goods fill every warehouse                                                  |

**Q.5 If the prevailing market price is higher than the equilibrium price, what condition develops in the market?**

- |                                                 |                                                                                         |
|-------------------------------------------------|-----------------------------------------------------------------------------------------|
| (A) An acute shortage (excess demand)           | (B) A market surplus (excess supply, $Q_s > Q_d$ ), exerting downward pressure on price |
| (C) All consumers purchase ten times more goods | (D) All producers go bankrupt immediately                                               |

**Q.6 If the prevailing market price is lower than the equilibrium price, what condition emerges?**

- |                                      |                                                                                         |
|--------------------------------------|-----------------------------------------------------------------------------------------|
| (A) A market surplus of unsold goods | (B) An excess demand (shortage, $Q_d > Q_s$ ), bidding prices upward toward equilibrium |
| (C) Supply automatically quadruples  | (D) Prices fall to zero                                                                 |

**Q.7 Goods that can be used in place of one another (such as tea and coffee, or ball pens and gel pens) are classified as:**

- |                         |                      |
|-------------------------|----------------------|
| (A) Complementary goods | (B) Substitute goods |
| (C) Giffen goods        | (D) Public goods     |

**Q.8 Goods that are consumed jointly together (such as petrol and cars, or printers and ink cartridges) are termed:**

- |                      |                         |
|----------------------|-------------------------|
| (A) Substitute goods | (B) Complementary goods |
| (C) Giffen goods     | (D) Independent goods   |

**Q.9 If the price of tea rises substantially, what happens to the demand curve for coffee (a substitute)?**

- |                                                    |                                                     |
|----------------------------------------------------|-----------------------------------------------------|
| (A) The demand curve for coffee shifts to the left | (B) The demand curve for coffee shifts to the right |
| (C) Coffee demand drops to zero                    | (D) The coffee demand curve turns vertical          |

**Q.10 What happens to the demand curve for petrol cars if the retail price of petrol (a complement) triples?**

- |                                                          |                                                         |
|----------------------------------------------------------|---------------------------------------------------------|
| (A) The demand curve for petrol cars shifts to the right | (B) The demand curve for petrol cars shifts to the left |
| (C) Petrol car demand remains completely unchanged       | (D) Car manufacturing costs drop to zero                |

**Q.11 A change in the OWN PRICE of a commodity results in:**

- |                                        |                                                                                                |
|----------------------------------------|------------------------------------------------------------------------------------------------|
| (A) A shift of the entire demand curve | (B) A movement along the existing demand curve (expansion or contraction of quantity demanded) |
| (C) A change in consumer taste         | (D) A change in government tax policy                                                          |

**Q.12 An increase in consumer income causes the demand curve for NORMAL goods to:**

- |                       |                        |
|-----------------------|------------------------|
| (A) Shift to the left | (B) Shift to the right |
| (C) Remain identical  | (D) Turn horizontal    |

**Q.13 Goods whose demand falls as consumer income increases (e.g., coarse cereals or low-quality clothing) are called:**

- |                           |                    |
|---------------------------|--------------------|
| (A) Normal goods          | (B) Inferior goods |
| (C) Prestige Veblen goods | (D) Luxury goods   |

**Q.14 A highly inferior staple food whose quantity demanded increases when its price rises (violating the Law of Demand) is a:**

- |                 |                        |
|-----------------|------------------------|
| (A) Veblen good | (B) Giffen good        |
| (C) Normal good | (D) Complementary good |

**Q.15 Goods purchased primarily for conspicuous consumption and social prestige (such as diamond jewelry) are known as:**

- |                    |                                 |
|--------------------|---------------------------------|
| (A) Giffen goods   | (B) Veblen goods (status goods) |
| (C) Inferior goods | (D) Public goods                |

**Q.16** If a percentage change in price leads to a proportionately smaller percentage change in quantity demanded ( $\$E_d < 1\$$ ), demand is:

- |                        |               |
|------------------------|---------------|
| (A) Highly elastic     | (B) Inelastic |
| (C) Perfect ly elastic | (D) Zero      |

**Q.17** If a commodity has many close substitutes readily available in the market, its price elasticity of demand is typically:

- |                                 |                               |
|---------------------------------|-------------------------------|
| (A) Inelastic ( $\$E_d < 1\$$ ) | (B) Elastic ( $\$E_d > 1\$$ ) |
| (C) Zero                        | (D) Negative                  |

**Q.18** A statutory MAXIMUM legal price set by the government below the market equilibrium price is a:

- |                           |                      |
|---------------------------|----------------------|
| (A) Price floor           | (B) Price ceiling    |
| (C) Minimum Support Price | (D) Wholesale markup |

**Q.19** What market disequilibrium is inevitably created when a price ceiling is enforced below equilibrium?

- |                                                 |                                                                                                  |
|-------------------------------------------------|--------------------------------------------------------------------------------------------------|
| (A) An unsold commercial surplus                | (B) A chronic market shortage (excess demand, $\$Q_d > Q_s\$$ ), leading to rationing and queues |
| (C) A complete disappearance of consumer demand | (D) An instant doubling of supply                                                                |

**Q.20** A statutory MINIMUM legal price fixed by the government above the market equilibrium price is a:

- |                          |                                                 |
|--------------------------|-------------------------------------------------|
| (A) Price ceiling        | (B) Price floor (such as Minimum Support Price) |
| (C) Maximum retail price | (D) Excise subsidy                              |

**Q.21** What agricultural policy in India acts as a price floor to protect farmers from distress sales during harvest gluts?

- |                 |                                 |
|-----------------|---------------------------------|
| (A) GST tax     | (B) Minimum Support Price (MSP) |
| (C) Import duty | (D) PDS ration quota            |

**Q.22** What agency procures surplus food grains at MSP and maintains national buffer stocks for the Public Distribution System?

- |                           |                                     |
|---------------------------|-------------------------------------|
| (A) Reserve Bank of India | (B) Food Corporation of India (FCI) |
| (C) NITI Aayog            | (D) Ministry of External Affairs    |

**Q.23** If technological innovations reduce the cost of manufacturing computer microchips, what happens to the supply curve of computers?

- |                                         |                                                                                                    |
|-----------------------------------------|----------------------------------------------------------------------------------------------------|
| (A) The supply curve shifts to the left | (B) The supply curve shifts to the right, lowering equilibrium price and expanding quantity traded |
| (C) Supply drops to zero                | (D) The supply curve turns vertical                                                                |

**Q.24** What happens to the market supply curve when the government imposes an additional per-unit excise tax on manufacturers?

- |                                          |                                                                           |
|------------------------------------------|---------------------------------------------------------------------------|
| (A) The supply curve shifts to the right | (B) The supply curve shifts to the left, raising equilibrium market price |
| (C) Supply becomes infinite              | (D) Taxes have zero effect on supply                                      |

**Q.25 Adam Smith's metaphor of the 'Invisible Hand' refers to the ability of competitive free-market price mechanisms to:**

- (A) Steal money from bank accounts in secret
- (B) Coordinate self-interested buyers and sellers to allocate scarce economic resources efficiently without centralized planning
- (C) Control the physical weather patterns
- (D) Prevent all technological inventions

**CBSE CANDIDATE OMR ANSWER RESPONSE GRID (SET F)**

|    |                                                                                                 |    |                                                                                                 |    |                                                                                                 |    |                                                                                                 |    |                                                                                                 |
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| 06 | <input type="radio"/> A <input type="radio"/> B <input type="radio"/> C <input type="radio"/> D | 07 | <input type="radio"/> A <input type="radio"/> B <input type="radio"/> C <input type="radio"/> D | 08 | <input type="radio"/> A <input type="radio"/> B <input type="radio"/> C <input type="radio"/> D | 09 | <input type="radio"/> A <input type="radio"/> B <input type="radio"/> C <input type="radio"/> D | 10 | <input type="radio"/> A <input type="radio"/> B <input type="radio"/> C <input type="radio"/> D |
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Total Questions Attempted: \_\_\_\_ / 25

Marks Obtained: \_\_\_\_ / 25

Evaluator's Signature: \_\_\_\_\_

### OFFICIAL ANSWER KEY & RAPID RECALL EXPLANATIONS (SET F)

| Q. No. | Correct | Curricular Concept & Rapid Recall Analysis                                                                                                       |
|--------|---------|--------------------------------------------------------------------------------------------------------------------------------------------------|
| Q.1    | (B)     | The Law of Demand states that as price rises, quantity demanded falls, and vice versa, other things held constant.                               |
| Q.2    | (B)     | Due to the inverse price-quantity relationship, the demand curve slopes downward to the right.                                                   |
| Q.3    | (B)     | Higher prices improve unit profit margins, incentivizing sellers to increase quantity supplied (upward-sloping supply curve).                    |
| Q.4    | (B)     | Market equilibrium occurs at the intersection of demand and supply curves where the market clears ( $Q_d = Q_s$ ).                               |
| Q.5    | (B)     | Above equilibrium, sellers offer more than buyers want ( $Q_s > Q_d$ ), creating an unsold surplus that forces prices down.                      |
| Q.6    | (B)     | Below equilibrium, buyers want more than sellers offer ( $Q_d > Q_s$ ), creating a shortage that bids prices up.                                 |
| Q.7    | (B)     | Substitute goods satisfy similar consumer needs; an increase in the price of one increases demand for the other.                                 |
| Q.8    | (B)     | Complementary goods have joint demand; an increase in the price of one reduces demand for the other.                                             |
| Q.9    | (B)     | A price hike in tea encourages consumers to substitute coffee, shifting the demand curve for coffee rightward.                                   |
| Q.10   | (B)     | Surging fuel operational costs depress joint consumer demand for petrol cars, shifting the car demand curve leftward.                            |
| Q.11   | (B)     | Own-price changes cause movements along the existing curve; non-price factors cause shifts of the curve.                                         |
| Q.12   | (B)     | Higher income raises consumer purchasing power, shifting the demand curve for normal goods rightward.                                            |
| Q.13   | (B)     | Inferior goods have a negative income elasticity; as consumers grow richer, they abandon them for superior alternatives.                         |
| Q.14   | (B)     | Giffen goods are extreme inferior staples where a strong negative income effect overwhelms substitution, causing an upward-sloping demand curve. |
| Q.15   | (B)     | Veblen goods derive appeal from exclusivity and high prices, signaling status to society.                                                        |
| Q.16   | (B)     | Inelastic demand ( $E_d < 1$ ) indicates low responsiveness, typical of necessities like salt and life-saving medicines.                         |
| Q.17   | (B)     | Readily available close substitutes allow consumers to switch easily if price rises, making demand highly price-elastic.                         |
| Q.18   | (B)     | A price ceiling is a legally enforced maximum price set below equilibrium to make essential goods affordable.                                    |
| Q.19   | (B)     | Artificial price caps expand consumer demand while contracting producer supply, creating chronic shortages.                                      |
| Q.20   | (B)     | A price floor is a legally mandated minimum price set above equilibrium to guarantee remunerative producer returns.                              |
| Q.21   | (B)     | The Minimum Support Price (MSP) guarantees farmers a minimum price floor for mandated agricultural crops.                                        |
| Q.22   | (B)     | The Food Corporation of India (FCI) procures food grains at MSP and manages national buffer stock reserves.                                      |
| Q.23   | (B)     | Cost-reducing technology shifts the supply curve rightward, lowering equilibrium price and expanding output.                                     |
| Q.24   | (B)     | Taxes increase marginal production costs, shifting the supply curve leftward and raising retail prices.                                          |

| Q. No. | Correct | Curricular Concept & Rapid Recall Analysis                                                                                                 |
|--------|---------|--------------------------------------------------------------------------------------------------------------------------------------------|
| Q.25   | (B)     | The 'Invisible Hand' describes how competitive price signals channel individual self-interest into socially efficient resource allocation. |